

Discussion: What Type of Banking System Is Needed to Accompany the Capital Markets Union?

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Chapter 16, by Lorenzo Bini Smaghi and Michala Marcussen, nicely traces the evolution of the US financial system from a bank-based to a market-based model over the past decades. It analyzes which elements of this evolution may serve as a benchmark for the European Union and which may not. The authors conclude that large cross-border universal banks are instrumental to the completion of the capital markets union (CMU).

This discussion aims to shed some further light on two aspects raised by the authors that are crucial for the understanding of the development of a market-based financial system in the United States: (1) the role of public-sector guarantees in mortgage and small and medium-sized enterprise (SME) lending and (2) changes to the pension system. The discussion concludes by arguing that large universal banks may only be needed for providing some of the services that a more market-based financial system in Europe will require.

Bini Smaghi and Marcussen rightfully point out that mortgage securitization via government-sponsored entities (GSEs) such as Fannie Mae and Freddie Mac played a major role in the transition of the United States from a bank-based toward a market-based financial system. While Fannie and Freddie have undoubtedly served as a catalyst for that evolution, another GSE is often overlooked: the system of Federal Home Loan Banks (FHLBs), which plays an important role in the provision of mortgage credit in the United States. FHLBs provide liquidity support to their member banks in the form of Federal Home Loan Advances. The banks use this support to issue mortgages for their securitization pipeline. FHLB advance lending contributed a nontrivial share to the fast-growing residential mortgage market in the United States in the run-up to the global financial crisis. The FHLBs fund themselves by issuing short-term debt that is mainly held by government money market funds. As discussed in Ashcraft, Bech, and Frame (2010), FHLB debt securities are considered federal agency securities and thus perceived to be implicitly guaranteed by the US government. Explicit and implicit government support of GSE debt thus plays an important role in the provision and securitization of mortgage lending in the United States.

Bini Smaghi and Marcussen highlight another important, albeit little-known fact about government support in the United States. The federal government provides substantial support for bank lending to SMEs via the Small Business Administration (SBA) with the objective to encourage lending to small businesses that face credit constraints. The SBA mainly operates through loan guarantees such as the 7(a) program. The scope of the SBA program has increased sharply in recent years. According to Dilger (2017), the SBA approved about 64,000 7(a) loans in fiscal year 2016, totaling more than US\$24 billion.

Combined, these facts show that, when considering the US financial system as a template for Europe, one should keep in mind that explicit and implicit government support plays an important role in the provision of mortgage and SME lending in the United States.

Shifting firm financing from banks to markets requires a sufficiently large investor base for debt and equity securities. While US households keep a substantial amount of their wealth in securities, euro area households hold a larger fraction in bank deposits (Véron and Wolff 2016). Bini Smaghi and Marcussen rightfully point to differences in pension systems as a reason for differential demand for market-based finance in the two economies. The increased use of capital-based private pensions in the United States was triggered in 1978 when Section 401 (k) of the Internal Revenue Code established defined contribution plans. From that time onward, US corporations started switching from defined benefit to defined contribution plans, and today the vast majority of these plans are capital based. Without a similar development, capital markets in Europe are likely to remain less deep compared to the United States despite the CMU initiative fostering market-based finance.

What type of banking system is needed to accompany the CMU? Bini Smaghi and Marcussen argue that large cross-border universal banks are key for the completion of the CMU. I agree that increased demand for services related to market-based finance—such as assistance in initial public offerings and private placements, structured finance, dealer services, and market making—will likely be met by large universal banks. That being said, fostering mortgage and SME lending does not necessarily require large banks as highlighted by the US examples

discussed above. More market-based finance in the presence of households who continue to prefer short-term deposits suggests an increased role for maturity transformation services. While these services have traditionally been provided by banks, asset management companies are increasingly stepping in. Either way, European regulators need to be cognizant of the changes to the financial system that will come with the completion of the CMU.

Note

The views expressed here are those of the author and do not necessarily reflect the official views of Deutsche Bundesbank or the Eurosystem. I thank, without implicating, Natalya Martynova, Kartik Anand and Philipp Koenig for helpful comments.

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